

The INDIAN ELECTRONICS INDUSTRY IN 2017-18: Key Trends



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What are the factors likely to shape the Indian electronics industry this year and beyond? We talked to industry members about the trends expected to impact businesses in this sector, and the developments and opportunities companies can look forward to.

India's electronic system design and manufacturing (ESDM) sector continues to be a critical force for growth, innovation and disruption across multiple segments. Perhaps nothing demonstrates this more clearly than the widespread application of electronic components and products in sectors like lighting, automotive and communications.

Electronics has become an agent of change in these segments, enabling the creation of products that enhance efficiency. As we enter fiscal year 2017-18, we anticipate even more opportunities for the electronics industry to meet the needs of the various sectors where electronic products are used.

Market projection

The Indian electronics market is one of the largest in the world and is expected to reach a turnover of US\$ 400 billion in 2022, up from US\$ 69.6 billion in 2012. According to an Indian Brand Equity Foundation (IBEF) report, the market is projected to grow at a compound annual growth rate (CAGR) of 24.4 per cent during the period 2012-2020

Methodology

To prepare this report, we collated information through primary interviews and conducted 11 brief survey interviews with stakeholders from global and Indian companies. This sample group is a microcosmic representation of the Indian electronics, chemicals and materials industry ecosystem. It comprises suppliers of chemicals and materials and their users, including component manufacturers, PCB manufacturers, component and product distributors, EMS providers, original equipment manufacturers and more. These senior professionals shared their insights on:

- Market drivers
- Technology trends in the market

A collation of their insights and our analysis is presented in this article. In forthcoming issues, we will share industry views related to other aspects of the industry.

(Fig. 1). Total production of electronics hardware goods in India is estimated to reach US\$ 104 billion by 2020.

The growing customer base and increased penetration in the consumer durables segment has provided excellent scope for growth of the Indian electronics sector. Also, greater digitisation could lead to increased broadband penetration in the country and open up newer avenues for companies in the electronics industry.

Applications that will drive the market

LED lighting applications will be the major driver for the Indian electronics market in the coming financial year. Considering the huge demand for communications and broadband equipment, including mobile handsets, this segment is also likely to drive the demand for electronic components and products. The market will also see demand from the automotive electronics segment. According to the survey participants, future growth in the electronics industry will predominantly come from the following top three demand-generating sectors (Fig. 2):

- LED lighting
- Communications and broadband equipment
- Automotive

Fig. 1: Growth forecast for the Indian electronics industry

